MSD

2023 / 2024

Impact Report

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About this report

This is the 2023/2024 Impact Report of Merck & Co., Inc., Rahway, NJ, USA, which is known as MSD outside the United States (U.S.) and Canada. All data is current as of December 31, 2023, unless otherwise noted. Information on documents filed with the Securities and Exchange Commission (SEC), such as our 2023 Form 10-K and 2024 proxy statement, can be found on our corporate website, which is intended only for residents of the U.S. and Canada.

To align with U.S. government reporting requirements, the data for gender diversity in this report uses the terms men and women. We recognize and embrace the gender spectrum and diversity of our employees, and have internally established voluntary Self-ID options for employees to self-report on their gender identity. The totals in this report may not equal 100 percent due to rounding or employees who have not reported their gender and/or race/ethnicity.

Forward-looking Statement of Merck & Co., Inc., Rahway, NJ, USA

This report of Merck & Co., Inc., Rahway, NJ, USA (the "Company") includes "forward-looking statements" within the meaning of the safe harbor provisions of the U.S. Private Securities Litigation Reform Act of 1995. These statements are based upon the current beliefs and expectations of the Company's management and are subject to significant risks and uncertainties. There can be no guarantees with respect to pipeline candidates that the candidates will receive the necessary regulatory approvals or that they will prove to be commercially successful. If underlying assumptions prove inaccurate or risks or uncertainties materialize, actual results may differ materially from those set forth in the forward-looking statements.

Risks and uncertainties include but are not limited to, general industry conditions and competition; general economic factors, including interest rate and currency exchange rate fluctuations; the impact of pharmaceutical industry regulation and health care legislation in the United States and internationally; global trends toward health care cost containment; technological advances, new products and patents attained by competitors; challenges inherent in new product development, including obtaining regulatory approval; the Company's ability to accurately predict future market conditions; manufacturing difficulties or delays; financial instability of international economies and sovereign risk; dependence on the effectiveness of the Company's patents and other protections for innovative products; and the exposure to litigation, including patent litigation, and/or regulatory actions.

The Company undertakes no obligation to publicly update any forward-looking statement, whether as a result of new information, future events or otherwise. Additional factors that could cause results to differ materially from those described in the forward-looking statements can be found in the Company's Annual Report on Form 10-K for the year ended December 31, 2023 and the Company's other filings with the Securities and Exchange Commission (SEC) available at the SEC's Internet site (**www.sec.gov**).

Overview

In this section:

Our Company
Highlights
CEO letter
Select awards and recognition
Our corporate Strategic Framework
Our approach to sustainability
UN Sustainable Development Goals (SDGs)

Our Company

We use the power of leading-edge science to save and improve lives around the world.

For over a century, we have brought transformative science to society by developing and delivering life-changing medicines and vaccines to patients who need them. As a leading biopharmaceutical company, we are at the forefront of scientific research, working tirelessly to provide innovative health solutions to advance the prevention and treatment of diseases in both humans and animals.

In addition to our scientific priorities, we also work to foster a diverse and inclusive global workforce, to ensure a safe and sustainable future for our communities, and to operate responsibly every day.

This report includes our voluntary disclosures against the Environmental, Social & Governance (ESG) reporting frameworks we've prioritized, and covers our enterprise-wide operations from January 1, 2023, to December 31, 2023, with some information on activities that took place in 2024.

Global Reporting Initiative (GRI) /Sustainability Accounting Standards Board (SASB) disclosures in this section:

GRI 2-1 GRI 2-12 GRI 2-13 GRI 2-14 GRI 2-22 GRI 3-1 GRI 3-2

GRI 3-3

*For more info on disclosures, see the **Reporting indices**.*

How we operate

We are a global health care company that delivers innovative health solutions through our medicines, including biologic therapies, vaccines and Animal Health products. In the U.S. and Canada, we are known as Merck & Co., Inc., Rahway, NJ, USA. Outside of the U.S. and Canada, we are known as MSD. We manage our business through two operating segments, Pharmaceutical and Animal Health.

The Pharmaceutical segment includes human health pharmaceuticals and vaccine products. Human health pharmaceutical products consist of therapeutic and preventive agents, generally sold by prescription, for the treatment of human disorders and diseases. We sell these products primarily to drug wholesalers and retailers, hospitals, government agencies and managed health care providers such as health maintenance organizations, pharmacy benefit managers and other institutions. Human health vaccine products consist of preventive pediatric, adolescent and adult vaccines. We sell these vaccines primarily to physicians, wholesalers, distributors and government entities.

The Animal Health segment discovers, develops, manufactures and markets a wide range of veterinary pharmaceutical and vaccine products, as well as health management solutions and services for the prevention, treatment and control of diseases in all major livestock and companion animal species. We also offer an extensive suite of digitally connected identification, traceability and monitoring products. We sell our Animal Health products to veterinarians, distributors, animal producers, farmers and pet owners.

*For more information on our business, please see our **2023 Form 10-K**.*

As of Dec. 31, 2023, we had approximately:

72,000

Employees worldwide

More than

550 million

People reached with our medicines and vaccines in 2023 (p. 20)

Annual revenue in 2023:

$60.1 billion

R&D spend in 2023:

$30.5 billion

Highlights

Access to Health

>550 million
People reached with our medicines and vaccines in 2023 (p. 20)

240 million
People enabled to access our innovative medicines and vaccines through access solutions in 2023 (p. 33)

>54 million
People, underserved by health care, reached through our social investments (2021-2023) (p. 40)

79%
Of countries reached globally with our products in 2023 (p. 28)

83%
Of the top 20 global burdens of disease addressed by our pipeline and products (p. 22)

Employees

>99%
Parity indicated in our global pay equity study for female employees compared to their male colleagues. For the third year in a row, we have maintained greater than 99% pay equity by race as well as gender in the U.S. (p. 61)

>21,000
Employees are members of at least one of our 10 Employee Business Resource Groups, nearly 30% of our global workforce (p. 57)

51%
Women comprise more than half of our global workforce (p. 60)

Environmental Sustainability

Net zero
Committed to a net-zero target for our greenhouse gas (GHG) emissions across our global operations (Scopes 1, 2, and 3) by 2045, aligned with the guidelines of the Science Based Targets initiative (SBTi) (p. 75)

6
Times since 2017 we've been honored as a winner of the Green Chemistry Challenge Awards sponsored by the Environmental Protection Agency (EPA) and/or the American Chemical Society (p. 100)

Ethics & Values

24/7
Availability of our MSDethics.com reporting tool, which allows employees and third parties to raise concerns confidentially and anonymously (where permitted by law) (p. 103)

>99%
Employees who completed our Leading With Ethics & Integrity training series in 2023 (p. 104)

$3.6 billion
Spending with small and diverse Tier 1 and 2 suppliers globally in 2023 (p. 119)

10 points
Allocated to certain sustainability metrics tied to Access to Health and Employees out of 100 points in our 2023 Company Scorecard, which is used to determine the payout of our annual incentive plan for most employees, including our executives (p. 10)

CEO letter

Dear Stakeholders,

For more than a century, we've been devoted to innovative scientific discovery, delivering medicines and vaccines to address critical health needs, optimizing the efficiency of our supply chain, increasing diversity in clinical trials, evolving our MSD Manual for medical reference and so much more. Importantly, everything we do is inspired by our purpose—to save and improve the lives of people and animals around the world. By harnessing leading-edge science, we've tackled some of the world's biggest health challenges for generations, and we remain committed to expanding access to life-changing medicines, vaccines and technologies for many more decades to come. Operating our business responsibly and sustainably is at the core of our values and foundational to our ways of working and business operations.

To help propel our purpose, we continue to prioritize our ambitious sustainability goals, which span four key focus areas: 1) Access to Health; 2) Employees; 3) Environmental Sustainability and 4) Ethics & Values.

Over the last year, our concerted focus on innovation, collaboration and delivering significant and sustained stakeholder value has driven remarkable progress and impactful outcomes. To these ends, I'm proud to share the following key accomplishments:

Expanding and enabling access to health

Enabling access to health underpins every action we take and every decision we make. Across our enterprise, we collaborate with global partners and stakeholders to advance our scientific discoveries, expand and enable access to our medicines and vaccines, and implement initiatives that drive health equity. In 2023, we reached more than 550 million people with our medicines and vaccines through commercial channels, clinical trials, voluntary licensing and product donations. These critical efforts include our MECTIZAN® Donation Program, the longest-running disease-specific drug donation effort of its kind, which aims to combat river blindness and lymphatic filariasis and reached approximately 385 million people last year.

In 2023, we also expanded on our 2021 access to health ambition, and now have a new goal to enable 350 million more people to access our medicines and vaccines by 2025. In 2023 alone, our efforts enabled access for 240 million people. Our products were delivered to nearly 80% of countries globally. And through our social investments, including partnerships to advance health equity and other impact initiatives, we reached more than 54 million people in low- and middle-income countries and populations underserved by health care in high-income countries, surpassing our goal of reaching more than 50 million people by 2025.

Developing and rewarding a diverse, inclusive and healthy workforce

We believe the best path to value creation is through our talent, and the variety of backgrounds and ideas they bring are central to the success of our company. Diversity, equity and inclusion is a business imperative. It improves our understanding of our customers, promotes the inclusion of diverse populations in our clinical trials and inspires the innovation that drives our business. We remain committed to actively cultivating a talented, diverse and inclusive workforce that best represents—and can thus best serve—our customers, health care providers and patients.

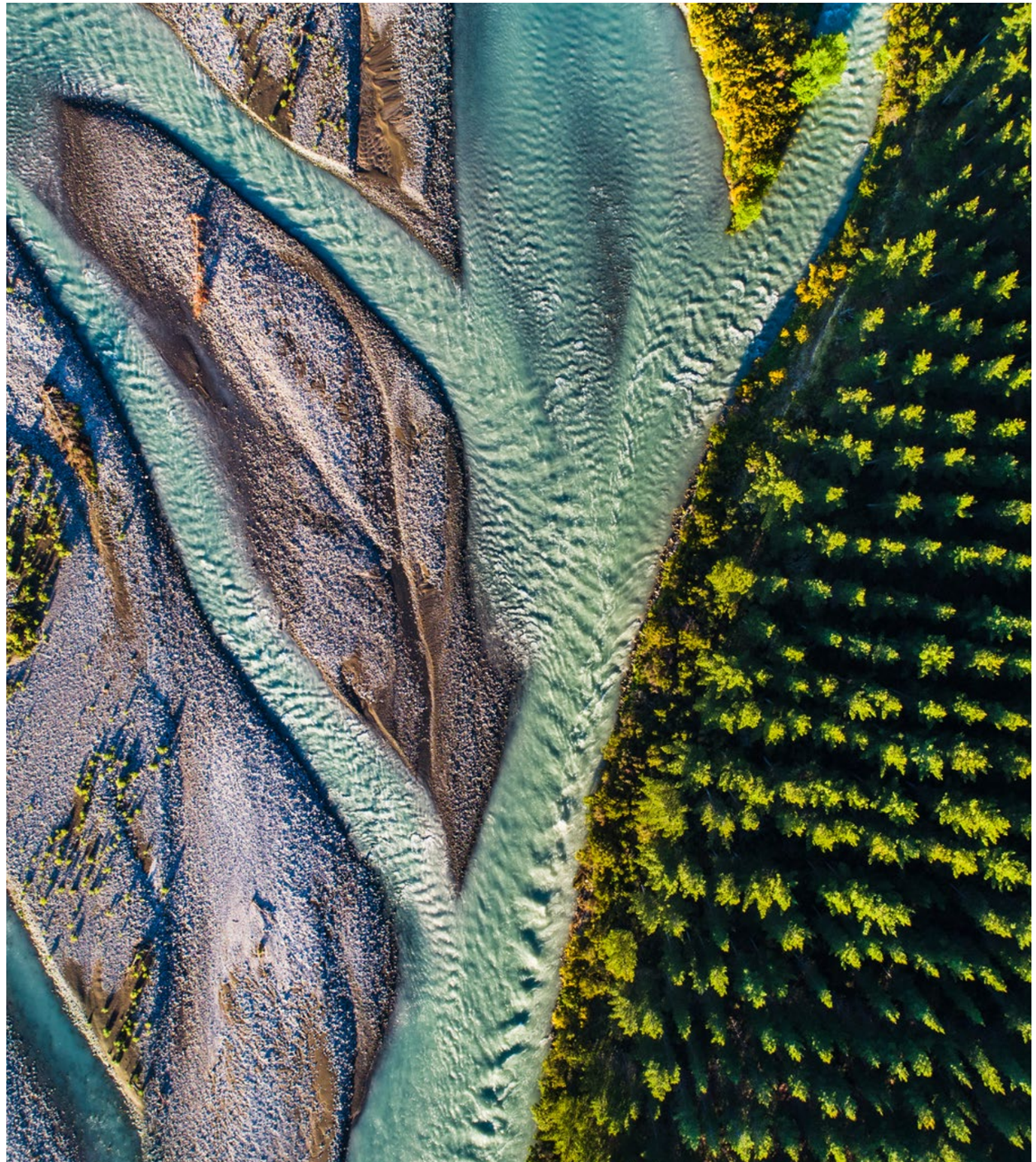
In 2023, we defined and introduced 15 new enterprise leadership skills, designed to further advance our culture, power organizational and individual performance, and drive value for our stakeholders and communities.

We continue to nurture a diverse, equitable and inclusive workplace. Women comprise 51% of our global workforce, 50% of our board of directors, and in 2023, our global pay equity study indicated a greater than 99% parity in compensation between female and male employees. Further, in the U.S., for the third year in a row, we have achieved greater than 99% pay equity across race and gender.

Embodying and prioritizing environmental stewardship

We know the global health of people and animals is inextricably linked to the health of the planet. This is why we are committed to playing an active role in mitigating the impacts of climate change. Notably, in 2024, we committed to be net-zero across Scopes 1, 2 and 3 greenhouse gas emissions by 2045, aligned with guidance from the Science Based Targets initiative.

Our environmental sustainability strategy is designed to achieve our objectives by focusing on three critical areas: operational efficiency, designing new products to minimize environmental impact, and reducing the impacts in our upstream and downstream value chain. And we have been recognized with six consecutive Green Chemistry Challenge Awards—nine overall—as a result of our ongoing efforts to minimize the footprint of our products. The awards are sponsored by the Environmental Protection Agency and the American Chemistry Society and recognize new and innovative environmentally conscious chemistry technologies.



Holding ourselves to the highest standards

We operate responsibly every day in every way, and we hold ourselves accountable to the highest standards of ethics and values. Our code of conduct is our compass, ensuring we maintain our reputation as a trusted, credible and responsible company. It also encourages employees to speak up and report potential concerns to ensure our ethics and values are reflected in our business operations. We maintain full compliance with all privacy and data regulatory requirements related to active incident monitoring, risk/harm analysis and on-time notification of data breaches.

We are also a signatory to the United Nations Global Compact (UNGC), and we align our operations with the Ten Principles of the UNGC to improve communities around the globe.

Additionally, we increased our spend with small and diverse Tier 1 and 2 suppliers from $3.2 billion in 2022 to $3.6 billion in 2023, fostering a healthy, equitable and diverse supply chain.

In 2023, we also added sustainability metrics to our Company Scorecard, which directly correlates to our annual incentive plan. The metrics link the compensation for most employees, including executives, to our performance in driving greater access to health care and employee engagement and inclusion. And I'm pleased to report that, in our inaugural year, we achieved all of our goals for these new sustainability metrics on our Company Scorecard.

Sustaining our momentum

I am very proud of our collective progress and the positive impact we've made on the lives of people, animals and communities around the world. In 2023, MSD was named one of the Top 100 Most Sustainable U.S. Companies by Barron's and one of America's Most JUST Companies by JUST Capital and CNBC. And notably, we ranked No. 1 in the health sector for both recognitions. This year, we were also recognized on TIME's inaugural list of the World's Most Sustainable Companies, ranking No. 28 out of 500 companies. These honors are a testament to our unwavering passion and commitment to saving and improving lives globally.

I remain confident that we can do even more to further advance global health and access, drive diversity, equity and inclusivity, protect the environment and operate responsibly. I'm excited and energized by the possibilities of our science-led strategy, the promise that our short- and long-term efforts present, and the positive, sustainable impacts that we can make today and well into the future.

My sincerest thanks for your continued support as we pursue a healthier and brighter future for all.

Very best regards,

Rob Davis
Chairman & Chief Executive Officer

Select awards and recognition

We're proud that our longstanding commitment to drive responsible actions has received external recognition as we strive to manage sustainability-related risks and create value for our business, society and our stakeholders.

Barron's

Top 100 Most Sustainable U.S. Companies—#38 overall and #1 in the sector (2024)

Human Rights Campaign Foundation

Recognized on the Corporate Equality Index (2023-2024)

Newsweek

America's Most Responsible Companies—#1 overall and #1 in the sector (2024)

Seramount

One of the 75 companies on the Top Companies for Executive Women list (2023)

JUST Capital

America's Most JUST Companies—#25 overall and #1 in the sector (2024)

TIME

#28 on the World's Most Sustainable Companies list (2024)

Our corporate Strategic Framework

Our Purpose

We use the power of leading-edge science to save and improve lives around the world

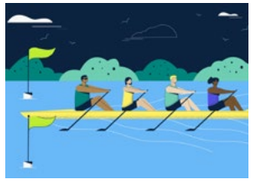
Our Aspiration

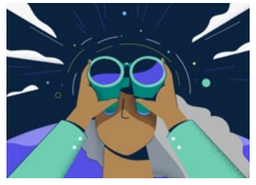
We aspire to be the premier research-intensive biopharmaceutical company

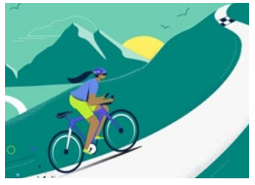
Our Priorities

- Invest in, augment, and accelerate our pipeline to deliver life-changing products
- Demonstrate value to our stakeholders and extend access to solutions that address unmet medical needs
- Drive innovation, growth and productivity enabled by digital and data
- Invest in the growth, success, and well-being of our people

Our Ways of Working


Win as one team


Focus on what matters


Act with urgency

Experiment, learn and adapt

Embrace diversity and inclusion

Speak up and be open-minded

Our Values

- Patients First
- Ethics and Integrity
- Respect for People
- Innovation and Scientific Excellence

We operate responsibly every day on behalf of society, shareholders and all our stakeholders to enable a safe, sustainable and healthy future for people and communities everywhere.

Our approach to sustainability

Our strategy includes a commitment to integrating sustainability at every level of our business operations. By doing so, we create opportunities to serve our patients, employees and society, as well as to bring value to our business and shareholders.

Building on our legacy of stewardship, we drive progress in our four longstanding focus areas:

- **Access to Health**—In collaboration with key stakeholders, we work to ensure our science advances health care, and our products are accessible and affordable around the world
- **Employees**—Our success is built on a culture that embraces different perspectives and values the contributions of each individual. We recognize that our competitiveness is strengthened by a diverse, skilled and engaged workforce.
- **Environmental Sustainability**—A healthy planet is essential to human and animal health and the sustainability of our business, while also providing opportunities for product innovation and reduction in costs and risks. We have a long history of environmental stewardship and compliance, and we continuously evolve our strategy and efforts in the face of a changing climate.
- **Ethics & Values**—Our ethics and values drive everything we do, creating an accountable culture that enhances our decision-making and ability to deliver on our purpose.

We're strategically embedding actions across our focus areas to serve our most important stakeholders: our patients.

Our sustainability efforts aim to position us as a partner of choice within the global health ecosystem to drive environmental and social change, to build stakeholder trust, to improve our long-term business performance, to increase investment flow, and to cultivate a diverse and inclusive culture where best-in-class talent chooses to work. This approach also manages risks across our supply chain and business operations, increases patient and investor confidence, brings in new opportunities with customers and peers and builds stronger communities through our health equity initiatives.

To be successful, proactive and meaningful engagement with stakeholders is critically important to building enduring relationships and fostering more collaborative partnerships. This ensures that our strategies are informed, relevant and aligned, with both societal needs and business objectives.

Our corporate Strategic Framework

For over a century, our unwavering dedication to operating responsibly has been a hallmark of our identity. This commitment is integral to our corporate Strategic Framework (see next page), and underscores our pledge to foster a safe, sustainable and healthy future for communities worldwide.

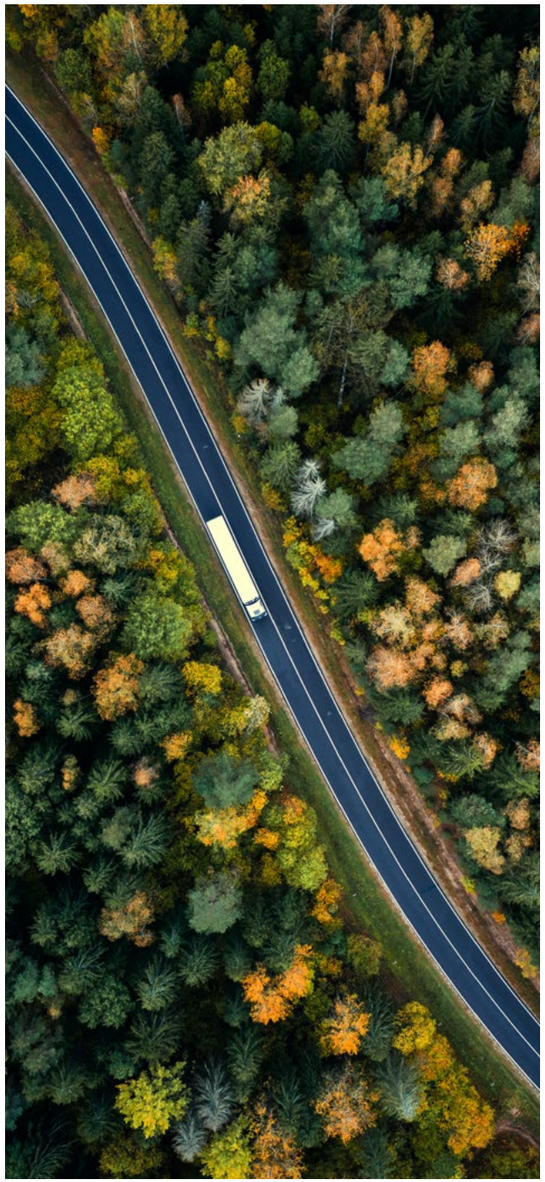
In 2023, we added sustainability metrics to our Company Scorecard, which directly affects the payout under our annual incentive plan. The metrics account for 10 percent of the Scorecard, and link the compensation for most employees, including executives, to our Company's performance in driving greater access to health care, employee engagement and inclusion. Notably, we met all of the goals for these new sustainability metrics in the first year.

*For more information about our Company Scorecard, please see page 55 of our **2024 proxy statement**.*

Update on our sustainability bond

Through September 30, 2023, we have fully allocated the $994 million of the net proceeds from our 2021 sustainability bond. We allocated approximately 81 percent of the amount to projects that are either completed or underway during the three-year look-back period, and allocated the remaining 19 percent to social and green projects in alignment with our sustainability financing framework.

*For more information, please see our **2023 Sustainability Bond Allocation Report** on our Investor Relations page of our corporate website.*



Sustainability governance

Board of directors

We are committed to governance policies and practices that serve the interests of our business and our shareholders. Our governance structure is an integral part of this commitment. Our Board of Directors oversees ESG matters for the Company, through its committees and as a whole. Our Executive Team and senior management are responsible for reviewing, refining and implementing our long-term sustainability strategy. Through groups such as the Strategic Policy & Sustainability Council, our senior leaders direct the day-to-day supervision of this strategy.

Our Executive Team updates the Board on our long-term sustainability strategy and performance through both discussions as a full Board as well as through Committee discussions on specific topics. For example, the Board's Governance Committee, which monitors and assists the Board in its oversight of sustainability matters, ensures relevant issues are subject to review by Board Committees with relevant areas of competency.

Corporate governance	2019	2020	2021	2022	**2023**
Independent directors on the Board	12	12	12	12	**11**
Board members who are independent	92%	92%	86%	92%	**92%**
Separate chairman of the Board and CEO[1]	No	No	Yes	No	**No**
Lead independent director	Yes	Yes	Yes	Yes	**Yes**
Women on the Board	46%	46%	43%	46%	**50%**
Members of underrepresented ethnic groups on the Board	23%	31%	21%	15%	**17%**

Note: Except as otherwise noted, all figures above are derived from our proxy statement filed the following year and are rounded.

[1] From July 1, 2021, to November 30, 2022, the positions of Board chairman and CEO were separate. As of December 1, 2022, the positions of Board chairman and CEO are not separate.

*For information on our Board's nomination process and the Board's roles and responsibilities for the management of and reporting on sustainability topics at the Company, please see our **2024 proxy statement** (pages 20-22). For information on how to communicate with the Board, please see page 25 of our proxy statement.*

Management

The groups below are responsible for directing the day-to-day supervision of our sustainability strategy and driving performance:

Strategic Policy & Sustainability Council (SPSC)
The SPSC, under the guidance of the Executive Team, ensures we advance our Strategic Framework through public policy and sustainability efforts that proactively shape and respond to the changing regulatory landscape. This group of cross-functional senior leaders makes recommendations to the Executive Team on critical public policy and sustainability issues, and monitors related performance across regions and functions.

ESG Strategy Management Team (ESMT)
With guidance from SPSC, the ESMT advises, shapes and drives our long-term sustainability strategy, including providing recommendations regarding business risks and opportunities. The role of this group of functional experts is to create long-term value, differentiate us as a leader in sustainability and answer to stakeholder demands about key issues across our four focus areas: Access to Health, Employees, Environmental Sustainability and Ethics & Values. The ESMT ensures our strategy and priorities align with and support our corporate Strategic Framework to meet our public commitments and stakeholder expectations.

ESG Strategy & Engagement Team
This team is responsible for raising the visibility of sustainability-related issues and activities, as well as fostering connections across business units and functional areas to assist with the integration of sustainability principles into business policies, strategies and practices. This includes producing our annual Impact Report.

Governance of environmental sustainability

Our Environmental, Health and Safety (EHS) Council is a cross-functional body with leadership representation from each area of our business and is responsible for overseeing our environmental sustainability strategy, policy and risk mitigation controls. It monitors performance against our targets and increases transparency on environmental issues within the Company, the Executive Team and the Board.

The Global Safety and Environment (GSE) vice president communicates progress on environmental sustainability goals, objectives and other material issues to the Board, Executive Team and EHS Council. The GSE vice president is also a part of the Strategic Policy & Sustainability Council (SPSC). Additionally, the head of the Environmental Sustainability Center of Excellence (CoE) is a member of the ESMT.

Our cross-functional Environmental Sustainability Implementation Steering Committee was designated by the EHS Council to oversee the progress of initiatives that support the achievement of our public targets and provide guidance on resourcing of our environmental sustainability strategy.

*For information on environmental health and safety management and governance, please visit the **Sustainability Resources page** on our corporate website.*